Exclusive news, data and analytics for financial market professionals LSEG

Exclusive: OpenAI lays groundwork for juggernaut IPO at up to $1 trillion valuation

By **Echo Wang**, **Kenrick Cai**, **Deepa Seetharaman** and **Krystal Hu**

October 30, 2025 6:24 PM GMT+7 · Updated October 30, 2025

File

Companies

Openai LLC Follow

Microsoft Corp Follow

Key Points

SAN FRANCISCO, Oct 29 (Reuters) - OpenAI is laying the groundwork for an initial public offering that could value the company at up to $1 trillion, three people familiar with the matter said, in what could be one of the biggest IPOs of all time.

OpenAI is considering filing with securities regulators as soon as the second half of 2026, some of the people said. In preliminary discussions, the company has looked at raising $60 billion at the low end and likely more, the people said. They cautioned that talks are early and plans - including the figures and timing - could change depending on business growth and market conditions.

Get a daily digest of breaking business news straight to your inbox with the Reuters Business newsletter.
Sign up here.

Chief Financial Officer Sarah Friar has told some associates the company is aiming for a 2027 listing, the people said. But some advisers predict it could come even sooner, around late 2026.

"An IPO is not our focus, so we could not possibly have set a date," an OpenAI spokesperson said. "We are building a durable business and advancing our mission so everyone benefits from AGI."

The IPO preparations signal a new urgency inside the ChatGPT maker to tap public markets now that a complex restructuring is complete that reduces its reliance on Microsoft (MSFT.O). An IPO would open the door to more efficient capital raising and enable larger acquisitions using public stock, helping to finance CEO Sam Altman's plans to pour trillions of dollars into AI infrastructure, according to people familiar with the company's thinking.

With an annualized revenue run rate expected to reach about $20 billion by year-end, losses are also mounting inside the $500 billion company, the people said.

[1/2] The steel frame of data centers under construction during a tour of the OpenAI data center in Abilene, Texas, U.S., September 23, 2025. REUTERS/Shelby Tauber/Pool/File Photo Purchase Licensing Rights

During a livestream on Tuesday, Altman addressed the possibility of going public. "I think it's fair to say it is the most likely path for us, given the capital needs that we'll have," he said.

IPO PREPARATIONS FOLLOW MAJOR RESTRUCTURING

OpenAI started out as a nonprofit in 2015. A few years later, the company overhauled its structure again so that the nonprofit would have oversight and control over the for-profit arm. The main goal of the nonprofit was to ensure that OpenAI developed AI technology safely, rather than prioritizing profits like a traditional company.

This week, OpenAI revamped itself yet again. It is still controlled by a nonprofit, now called the OpenAI Foundation, but the nonprofit has a 26% stake in OpenAI Group and a warrant to receive additional shares if the company hits certain milestones. This change makes the nonprofit a significant stakeholder in OpenAI's financial success.

A successful offering would mark a major win for investors such as SoftBank, Thrive Capital and Abu Dhabi's MGX. Microsoft, one of its biggest backers, now owns about 27% of the company after investing $13 billion.

The deliberations come as AI is driving a surge in public markets. Earlier this year, AI cloud company CoreWeave went public at a $23 billion valuation and has roughly tripled since. On Wednesday, Nvidia became the first company to reach a $5 trillion market value, powered by a rally that has cemented its role at the center of the global AI boom.

The Wall Street Journal first reported on the possibility of OpenAI going public as early as 2027.

Reporting by Echo Wang in New York, Kenrick Cai, Deepa Seetharaman, and Krystal Hu in San Francisco; Editing by Kenneth Li and Lisa Shumaker

Our Standards: **The Thomson Reuters Trust Principles.**